
Getting Approval at BYU

The Steps, and an Example COI Management Plan

Vertical Cloud Lab · example discussion draft · 18 August 2026

How a faculty-founder arrangement actually gets approved at BYU — who signs what, in what order — and a drafted example of the central instrument, the **conflict-of-interest management plan**, written for the VCL scenario developed across [PR #156](#). Companion to [BYU rules on VC money and founder involvement](#), which holds the underlying policy analysis.

Not an official form, and not legal advice. BYU does not publish its disclosure forms or management-plan template — they are internal to the Faculty Profile System and the AAVP–Research office (this is documentation gap #1 flagged in the [rules doc](#)). The draft in Part 2 is synthesized from the requirements and management tools BYU’s own policies name, the TTO’s process documents, and the elements peer-university plans (Stanford, UIC, UCLA) contain. Use it as a discussion draft to bring to the chair and to Larry Howell’s office — and ask them for the real template.

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Part 1 — The approval sequence

Two clarifications up front, answering the questions as asked:

1. **“Department approval” is the first layer of a stack, not a single event.** What the department itself controls is steps 1–3 below: the disclosure, the chair/dean written authorization of the outside role, and the chair-written/dean-approved conflict management plan. Every transaction after that (license, sponsored research agreement, board seat, leave) adds university-level approvers on top — but the chair and dean reappear as signatories inside almost all of them, which is why the informal chair briefing is step 0.
2. **Yes, a management plan is involved — in fact BYU’s policies name two, and this scenario triggers both.** The [Conflict of Time or Interest Policy](#) (COTI) calls for a **conflict management plan** when a disclosed outside activity creates a conflict or its appearance: it is “written with the chair, approved by the dean, and submitted through the [Faculty Profile System],” and may include “any actions sufficient to avoid, eliminate, or ensure against Conflicts or the appearance of Conflicts, including recusal from discussions or decisions if a potential Conflict exists.” The [Financial Conflict of Interest in Research Policy](#) (FCOI) calls for a **management plan** when the AAVP–Research determines a disclosed Significant Financial Interest is a conflict with respect to research; its named tools run from public disclosure in publications and an independent monitor up to disqualification from the project and “reduction or elimination of the financial interest (e.g., sale of an equity interest).” The COTI plan governs the *role and time* (co-founder title, days per month, resource wall); the FCOI plan governs the *research* (the company-sponsored work, the students, the data). For a founder whose company licenses BYU IP and sponsors research in their own lab, the sensible artifact is **one integrated plan approved by chair, dean, and AAVP–R together** — which is what Part 2 drafts.

The steps in order

#	WHAT HAPPENS	INSTRUMENT	APPROVER(S)	WHEN
0	Informal chair briefing	conversation + one-pager	—	now, before the company takes further shape
1	Disclose the outside activity	Faculty Outside Activities Form (Annual Review section, Faculty Profile System)	filed, not approved	before engaging in the activity; re-filed annually
2	Authorize the role itself	prior written authorization	department chair, dean, or supervisor (consulting: chair)	before taking the co-founder/advisor role or signing anything company-side

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#	WHAT HAPPENS	INSTRUMENT	APPROVER(S)	WHEN
3	COTI conflict management plan	plan written with the chair	dean approves ; submitted via Faculty Profile System	as soon as a conflict or its appearance is identified — realistically, at step 2
4	FCOI disclosure → determination → management plan	SFI disclosure; written management plan	AAVP–Research (Larry Howell) determines and approves	disclosure before proposal submission and within 30 days of acquiring any new interest; plan before affected research proceeds
5a	License / assignment of BYU IP	option → term sheet → license or assignment (TTO)	reviewed by chair, dean, TTO director, General Counsel; decision by AAVP–R ; founder recused from negotiation	at deal time
5b	Company-sponsored research in the lab	proposal + SRA (RAO)	chair + dean approve the proposal; AAVP–R signs before it leaves BYU; RAO negotiates opposite a non-founder company negotiator	when company money funds lab work
5c	Voting board seat at the licensee	written approval	dean + AAVP–R + TTO — and only if ≤\$3M raised, no non-accredited investors	rare; a priced round forecloses it
5d	Exception to standard income distribution (the ≥10% forfeiture)	written approval	dean + AAVP–R + TTO	if relief from the forfeiture/match collision is sought
5e	Personal leave (only if the posture changes)	leave application + written leave agreement	chair → dean → AAVP–Faculty Development	before any officer role
5f	Company equipment placed in the lab	loan/bailment agreement or SRA term	RAO signs (PI may not)	at placement

Notes on the table:

- **Step 1 timing is a policy command, not advice:** Outside Activities “must be disclosed *before* engaging in them,” then annually. Since the April 2025 rewrite, the disclosure workflow lives inside the COTI policy itself (Faculty Outside Activities Form; conflict management plans through the same system) — there is no separate HR procedure to hunt down.
- **Step 2 is triggered by the role, not the money.** Written authorization is required to “operate a business, serve as an officer (in title or in fact) of a business, or maintain employment with a business that requires attention during the employee’s assigned work hours,” and Secondary

Employment (consulting) needs prior written chair approval within the 4-days/month cap. The test the approver applies is written down: chairs and deans “do not approve activities they believe would unduly limit a faculty member’s availability to students or compromise... teaching, scholarship, or citizenship performance” — which is why the one-pager for step 0 should lead with the time budget and the teaching/mentoring plan, not the cap table.

- **Steps 3 and 4 are where “the management plan” lives** — see the two-plans clarification above. For the license-only route Howell recommended, it is possible the COTI layer resolves at step 2 with authorization plus disclosure alone, and the FCOI plan only comes into existence when the first proposal touching the company is submitted. But Howell’s own advice from the July 2026 meeting cuts the other way: get the disclosures and the plan **dated early, while the stakes look small** — an approved plan is the artifact that answers later scrutiny; a retroactive one is an admission.
- **Step 5a includes the founder’s chair by design.** The IP Policy: “Any proposed transfer of Intellectual Property from the university will be reviewed by the chair, dean, director of the Technology Transfer Office or Creative Works Office, Office of General Counsel, and associate academic vice president – research and graduate studies,” with the final decision the AAVP-R’s. The founder’s sanctioned touchpoints during the deal are exactly three: share information with TTO about the company as a potential licensee, sign the license acknowledgment (“blue sheet”), and negotiate/sign the income **Distribution Agreement** — the one contract that is between BYU and its own employee rather than with a third party, and therefore the founder’s only legitimate seat at any table.
- **What to bring to step 0.** A one-page brief: what the company does; proposed personal role and title (advisory, non-officer); equity range and whether it will cross 10%; what BYU touchpoints are contemplated (license/assignment, BYU-held equity, later SRA, equipment placements); the monthly time budget against the 4-day cap; how teaching, mentoring, and the proposal pipeline are unaffected; and a draft management plan (Part 2) showing the protections are already thought through. The chair’s signature appears at steps 2, 3, 5a, and 5b — the person who should never be surprised.

Part 2 — Example integrated conflict-of-interest management plan

The draft below is written for the specific posture the PR #156 thread converged on after the Howell meeting: **stay full-time faculty (no leave), listed co-founder with equity, advisory non-officer title, TTO license or assignment with BYU possibly taking equity, the company later sponsoring research in the founder’s own lab, open-source-by-default outputs, possible company equipment in the lab, and students throughout.** Bracketed text is placeholder; provisions cite their policy source so approvers can check provenance. Provisions marked *[snapshot]* rest on login-gated policies reviewed in the [July 2026 full-policy-snapshot cross-check](#) rather than on publicly fetchable text.

One structural point worth understanding before reading it: the snapshot cross-check found that **BYU has no default student-protection rule for faculty startups** (no analogue of Stanford’s flat bar on involving current students in company activities). At BYU those protections exist *only if a management plan creates them* — which is why §6 below is the longest section.

DRAFT — FOR DISCUSSION — NOT AN OFFICIAL BYU FORM

Conflict of Interest Management Plan

Brigham Young University — Department of Mechanical Engineering / Ira A. Fulton College of Engineering

FACULTY MEMBER	[Sterling G. Baird], Assistant Professor, Department of Mechanical Engineering (the “Faculty Member”)
OUTSIDE ENTITY	[NewCo, Inc.], a [Delaware C-corporation] commercializing automated (“cloud lab”) materials-experimentation technology (the “Company”)
GOVERNING POLICIES	Conflict of Time or Interest Policy (7 Apr 2025); Financial Conflict of Interest in Research Policy (7 Apr 2025); Intellectual Property Policy (rev. 16 Dec 2024) and Intellectual Property Procedures; Sponsored Projects Handbook
PLAN EFFECTIVE DATE	[date]
REVIEW CYCLE	annual, with the Faculty Outside Activities Form

§1. Disclosed facts and interests

Per the Faculty Outside Activities Form dated [•] and the FCOI disclosure dated [•]:

- 1.1 The Faculty Member is a **co-founder** of the Company.
- 1.2 The Faculty Member holds an equity interest of [•]% **fully diluted** ([below 10% / exactly 10% / above 10%] — the provisions of §9 apply accordingly). No salary, consulting fees, or other remuneration are received from the Company (see §3.4).
- 1.3 The Faculty Member’s role is [**co-founder and Chief Scientific Advisor**] — an advisory role with no line-management authority, no employment relationship, and no officer title, in fact or in name.
- 1.4 The Company [is negotiating / holds] a [license / assignment] to BYU-owned intellectual property arising from the Faculty Member’s laboratory (TTO ref. [•]). BYU [holds / may accept] equity in the Company as partial consideration.
- 1.5 The Company [intends to / may] sponsor research in the Faculty Member’s BYU laboratory under a sponsored research agreement (“SRA”) negotiated by the Research Administration Office (“RAO”).
- 1.6 The Company may place Company-owned equipment in the laboratory under a university-signed agreement (§7.2).

- 1.7 Students and postdoctoral researchers work in the laboratory; some may be funded under the SRA.
- 1.8 The laboratory's stated policy is open-source release of outputs by default, subject to the TTO disclosure gate (§7.3).
- 1.9 The Faculty Member remains on a full-time faculty appointment and is not on leave. A change in any fact in this section is a plan-amendment trigger (§10).

§2. Determinations

- 2.1 The department chair and dean have authorized the outside activity described in §1.1–1.3 in writing, subject to this plan. (COTI: *written authorization to "operate a business, serve as an officer (in title or in fact) of a business..."*)
- 2.2 The AAVP–Research has determined that the interests in §1 constitute a Financial Conflict of Interest with respect to [the SRA in §1.5 and any research related to the licensed IP], and that the conflict can be **managed** under this plan rather than requiring elimination. (FCOI: *AAVP–R determination; management-plan tools.*)
- 2.3 This plan is intended to manage conflicts **and the appearance of conflicts**. (COTI *management-plan standard.*)

§3. Role, title, and time

- 3.1 The Faculty Member will hold **advisory titles only** (e.g., "Chief Scientific Advisor," scientific advisory board chair) and will not serve as an officer of the Company, in title or in fact, nor as a line manager or employee, while a full-time faculty member not on leave. (COTI *officer clause; Sponsored Projects Handbook: "Faculty members not on leave are not to be line officers in outside companies."*)
- 3.2 The Faculty Member will not hold a **voting board seat**. If the Company has raised $\leq \$3,000,000$ with no non-accredited investors and a voting seat is desired, it requires separate prior written approval of the dean, AAVP–R, and TTO; the parties acknowledge a priced venture round forecloses it, and a board-observer or advisory seat is the durable shape. (IP Policy *board-seat rule.*)
- 3.3 Aggregate time on Company matters will not exceed **four days per month** while under contract, averaged as one day per week across all outside activities combined, with the expectation of equivalent compensating time on adjacent weekends/evenings for any workweek time. Hours are logged and reported with the annual disclosure. (COTI *Secondary Employment cap; Expectations of a Faculty Appointment aggregation.*)
- 3.4 **No dual compensation channel.** While the Faculty Member participates in Company-sponsored research at BYU (§5), the Faculty Member will receive **no consulting fees or other paid-services compensation from the Company** — founder equity is the sole financial

interest, managed under this plan. Any future paid consulting arrangement requires prior written chair approval and either (a) withdrawal from participation in Company-sponsored BYU research, or (b) a written AAVP–R exception under the rare-exception clause. (*IP Policy: a faculty member “may either act as a paid consultant to or participate in sponsored research for the same company but may not perform both at the same time,” rare exceptions by approved management plan + written AAVP–R approval.*)

§4. Contracting wall (recusal)

- 4.1 The Faculty Member will not **negotiate, influence, or attempt to influence** the negotiation of any contract or agreement between BYU and the Company — including the license/assignment, any SRA, any equipment loan, and any gift — **from either side of the table**. (*COTI Related Party clause, applied as a plan term regardless of the §9 threshold.*)
- 4.2 Company-side negotiations with BYU are conducted by [non-founder officer/business lead, name/title]; BYU-side negotiations only by RAO, TTO, or the Office of General Counsel per their signature authority.
- 4.3 The Faculty Member will not advocate acceptance or terms of any BYU–Company agreement with the chair, dean, RAO, TTO, AAVP–R, or through colleagues.
- 4.4 **Permitted activities** (the sanctioned channels, exhaustively): (a) sharing information with TTO about the Company as a potential licensee; (b) technical input to the SRA statement of work, submitted through RAO’s designated contact; (c) serving as the Company’s named technical contact after execution of an agreement; (d) reviewing and signing the license acknowledgment (“blue sheet”); (e) negotiating and signing the income **Distribution Agreement** with BYU, which is an internal BYU–employee contract outside the Related Party prohibition. (*TTO “Working with the Technology Transfer Office”; COTI.*)

§5. Company-sponsored research in the laboratory

- 5.1 Any Company use of laboratory personnel, students, or facilities is converted to an **SRA with cost reimbursement** at BYU’s standard terms (51.5% MTDC indirect on the MTDC base; no permanent publication restrictions; TTO-reviewed IP terms). No Company work product, data generation, or product development occurs outside the SRA’s statement of work. (*COTI resource wall; Sponsored Projects Handbook.*)
- 5.2 **Project leadership:** [Option A — Prof. [•], who holds no Company interest, serves as PI of record; the Faculty Member participates as co-investigator.] [Option B — the Faculty Member serves as PI, with the independent oversight of §5.3 and enhanced monitoring of §8.] If the Faculty Member ever takes leave, a genuinely independent interim PI holding a regular faculty appointment is mandatory (research associates and postdocs may not serve as PI [*snapshot: Non-CFS Track Academic Appointments Policy*]), and the Faculty Member’s residual role is limited to a disclosed advisory capacity named in the leave agreement.

- 5.3 Independent oversight of the science:** Prof. [•] (no Company interest) reviews the design, data integrity, and conclusions of Company-sponsored work [annually / prior to submission of each publication]; disagreements are escalated to the chair. *(FCOI management tools: independent monitor, modification of research plan.)*
- 5.4** Publications and presentations arising from Company-sponsored or license-related work disclose the Faculty Member's Company interest and, if applicable, BYU's equity position. *(FCOI public-disclosure tool; institutional-COI practice.)*
- 5.5** Student publication rights and the no-permanent-restriction baseline are preserved in every SRA. Sponsor prepublication review is limited to short delays for proprietary-information and patent screening.

§6. Students and postdoctoral researchers

- 6.1 Written notice.** Every member of the laboratory receives written notice of the Faculty Member's Company roles and interests (and BYU's, if BYU holds equity) at onboarding and annually; the notice is copied to the chair. Students assigned to Company-sponsored projects acknowledge it in writing.
- 6.2 Independent advocate.** The chair (or a designee holding no Company interest) meets each student working on Company-sponsored or license-related projects at least once per [semester], without the Faculty Member present, to review degree progress, topic independence, and any concerns; students may also raise concerns directly with the graduate coordinator or dean's office at any time.
- 6.3 No company work outside the SRA.** No student is directed to perform services for the Company except within the SRA's statement of work. Using students "to perform services for an outside entity" in which the investigator holds an interest is a listed FCOI conflict; this plan resolves it by containment within the SRA plus the protections of this section.
- 6.4 Company employment of students.** A student who wishes to intern with or join the Company is referred to the [chair/dean's office] for independent advice before any offer is accepted (the Stanford-model referral). The Faculty Member will not simultaneously supervise the same student at BYU and at the Company; if an exception is unavoidable, the student's thesis committee must carry a majority of members with no Company interest and the dual role is disclosed to the committee in writing. Combined BYU + Company employment respects student hour caps (20 hours/week during semesters), with particular attention to international students' visa limits. *[snapshot: Student Hiring and Employment Policy]*
- 6.5 Theses and timing.** Thesis/dissertation scope and defense timing are set by the student and committee on academic grounds; no embargo (ADV Form 8e) or defense NDA is requested for the Company's commercial convenience — where patent timing requires confidentiality, the default is a provisional filing before the defense, not securing the thesis.
- 6.6 IP and credit.** Lab participants sign the Employee and Student Assignment of Ownership and Non-Disclosure Agreement (TT-1089) at onboarding. Students are informed in writing

that inventorship is a legal determination based on conception (made during prosecution, not by the lab), that “Developer” royalty status and Company compensation are separate questions, and how the lab recognizes contribution (authorship; Distribution Agreement shares where inventorship supports it).

§7. University resources, equipment, and intellectual property

- 7.1 Resource wall.** No university resources, facilities, work time, personnel, or IT accounts are used for Company operations; Company work runs on Company accounts, devices, and premises from day one. (COTI: “University Personnel may not use university resources, facilities, or work time to engage in commercial activities, businesses, or ‘start-up’ companies”; IT resources additionally require responsible-VP + CIO written authorization for any non-university commercial use [snapshot: Appropriate Use of IT Resources Policy].)
- 7.2 Equipment placements.** Company-owned equipment enters the laboratory only under a university-signed instrument — an RAO equipment loan/bailment agreement or an SRA term — settling title, insurance, maintenance, access, export-control screening, and permitted use before delivery. The Faculty Member signs nothing. Students operate such equipment only for BYU research or within the SRA. In-kind resources are reported on federal awards (Facilities & Other Resources / Other Support) as required.
- 7.3 TTO gate before public release.** All potentially protectable laboratory outputs are disclosed to **TTO before any public disclosure** — public repositories, preprints, demos, and public theses included — and released after TTO either releases the rights or files a provisional. The laboratory maintains a standing pre-release checklist, and the parties will agree on a target turnaround with TTO so the open-source release cadence is plannable. (IP Policy disclosure-before-public-use; TTO “Preparing a Patent Application.”)
- 7.4 Open-source boundaries are set upstream, not at the table.** The laboratory’s open-science policy is public, dated, and sponsor-agnostic; the Company’s open/proprietary split lives in the Company’s published licensing policy, adopted by the Company outside any BYU negotiation. The Faculty Member does not advocate particular IP or release terms in any BYU–Company negotiation (§4).
- 7.5 Invention hygiene and the prong-(c) acknowledgment.** Records are maintained sufficient to distinguish BYU-side from Company-side conception; joint-inventorship questions go to TTO. The Faculty Member acknowledges the IP Policy’s ownership claim over IP “related to the current or demonstrably anticipated business, research, or development of the university” and will obtain **written TTO releases or license carve-outs** for Company-side inventions rather than relying on time-and-resource records alone.

§8. Transparency, certification, and monitoring

- 8.1** The Company relationship is disclosed in proposals, in publications and presentations arising from affected research, to affected students (§6.1), and to journals/conferences per venue policy.

- 8.2 Annual re-disclosure via the Faculty Outside Activities Form; FCOI disclosure updates within **30 days** of any new or changed significant financial interest.
- 8.3 The Faculty Member notifies the chair and AAVP–R within 30 days of: any Company financing event; any change in title or governance role; equity crossing the 10% line in either direction (§9.3); any new proposed BYU–Company agreement; any contemplated leave.
- 8.4 An annual one-page compliance report under this plan goes to the chair, dean, and AAVP–R with the annual disclosure; the AAVP–R may direct an independent monitor at any time. (*FCOI tools.*)
- 8.5 On PHS-funded research, the Faculty Member acknowledges BYU will respond within 5 business days to public requests for information about disclosed SFIs — name, title, entity, nature, and approximate value.

§9. Equity-threshold provisions

- 9.1 If the Faculty Member’s interest is **ten percent or more**, the Developer distribution under the IP Policy (the 45% share, and with it the research-account designation and college/IPS match) is forfeited by default; any relief requires a written **Exception to Standard Income Distribution** approved by the dean, AAVP–R, and TTO. The Faculty Member may request such an exception through the chair but will not lobby for it (§4.3).
- 9.2 If the interest **exceeds ten percent**, the Company is a “Related Party” under COTI and the §4 recusal is mandatory policy, not merely a plan term.
- 9.3 The Faculty Member provides the AAVP–R an updated capitalization summary after each financing event, so threshold status is always current.

§10. Change-of-posture triggers (amend the plan *before* the change)

Prior plan amendment and re-approval are required before:

- taking any officer title or board seat;
- taking any leave;
- becoming PI [or ceasing to use an independent PI] on Company-sponsored work;
- accepting any Company compensation beyond equity;
- the Company hiring any student currently supervised by the Faculty Member;
- BYU units becoming customers of the Company (which separately triggers the Employee-Vendor Policy’s pre-approval machinery [*snapshot*]);
- any human-subjects research touching the Company relationship.

§11. Duration, amendment, and remedies

- 11.1** This plan is reviewed annually by the AAVP–R with the chair and dean, and may be amended, strengthened (independent monitor, disqualification, divestiture), or terminated by the AAVP–R as circumstances change. (*FCOI tools.*)
- 11.2** The plan terminates when the relationships and interests in §1 end or fall below disclosure thresholds, confirmed in writing by the AAVP–R.
- 11.3** Noncompliance is handled under the governing policies, including retrospective review and reporting obligations on federally funded work.

§12. Acknowledgment and approvals

PARTY	ROLE UNDER THIS PLAN	SIGNATURE / DATE
[Sterling G. Baird], Faculty Member	subject of the plan	_____
[•], Department Chair, Mechanical Engineering	plan co-author (COTI); reviewer of IP transfers	_____
[•], Dean, Ira A. Fulton College of Engineering	plan approval (COTI); board-seat/income-exception approvals	_____
[Larry Howell], AAVP–Research & Graduate Studies	FCOI determination and plan approval; final IP-transfer decision	_____
[Dave Brown], Director, Technology Transfer Office	for provisions touching the license/assignment (§§4, 7, 9)	_____

Where this draft could be wrong, and how to find out

- **BYU’s real template may be organized differently** (it may split the COTI and FCOI plans, or be far shorter). The AAVP–R office and the Faculty Profile System hold the actual forms — asking for them is the cheapest possible next step, and the Warnick/Linear Signal case is the precedent to ask the office to describe (rules-doc documentation gaps #1 and #3).
- **Some provisions cite gated policies** reviewed only in the July 2026 policy-snapshot cross-check (marked *[snapshot]*): the Non-CFS PI restriction, student hour caps, the IT commercial-use authorization, and the Employee-Vendor Policy. Verify current text with a BYU login before relying on the details.
- **The plan deliberately over-includes.** Provisions like §5.3 (independent science oversight) and parts of §6 exceed what BYU’s written policies strictly require — they import the elements peer plans use and the FCOI policy’s optional tools. That is intentional (Howell’s protect-the-individual framing: the plan is the artifact that answers scrutiny when things go wildly well), but each one is negotiable with the approvers.